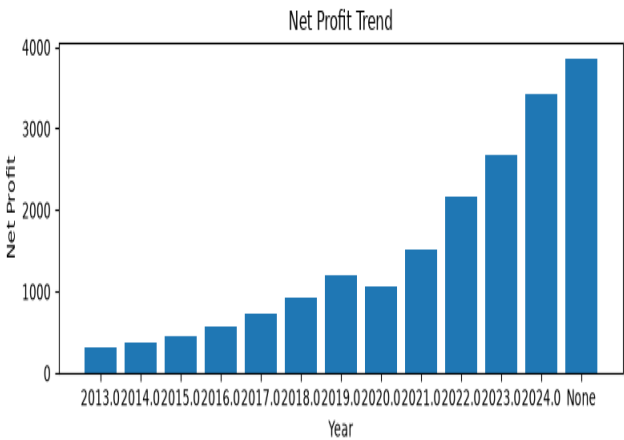
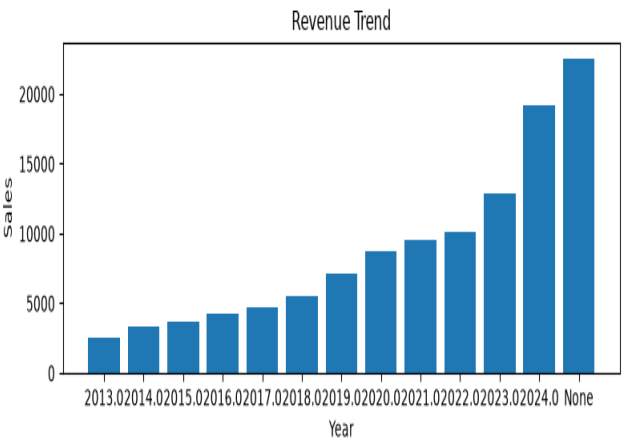


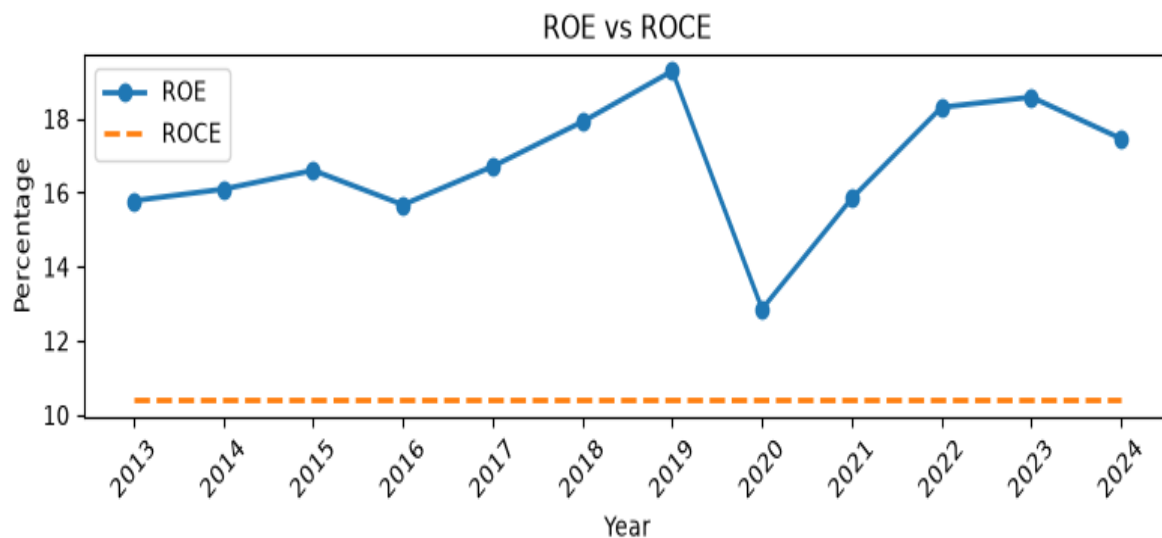
Cholamandalam Investment & Finance Company Ltd

Investment Summary

Overall Rating	★
Quality Score	11/100
Financial Health	Weak
Capital Allocation	Growth Funded by Debt
Recommendation	AVOID

10 Year Financial Trends





Capital Allocation Pattern

Growth Funded by Debt

ROE	17.46%
ROCE	10.40%
NPM	17.85%
OPM	28.10%
D/E	6.86
EPS	41.00

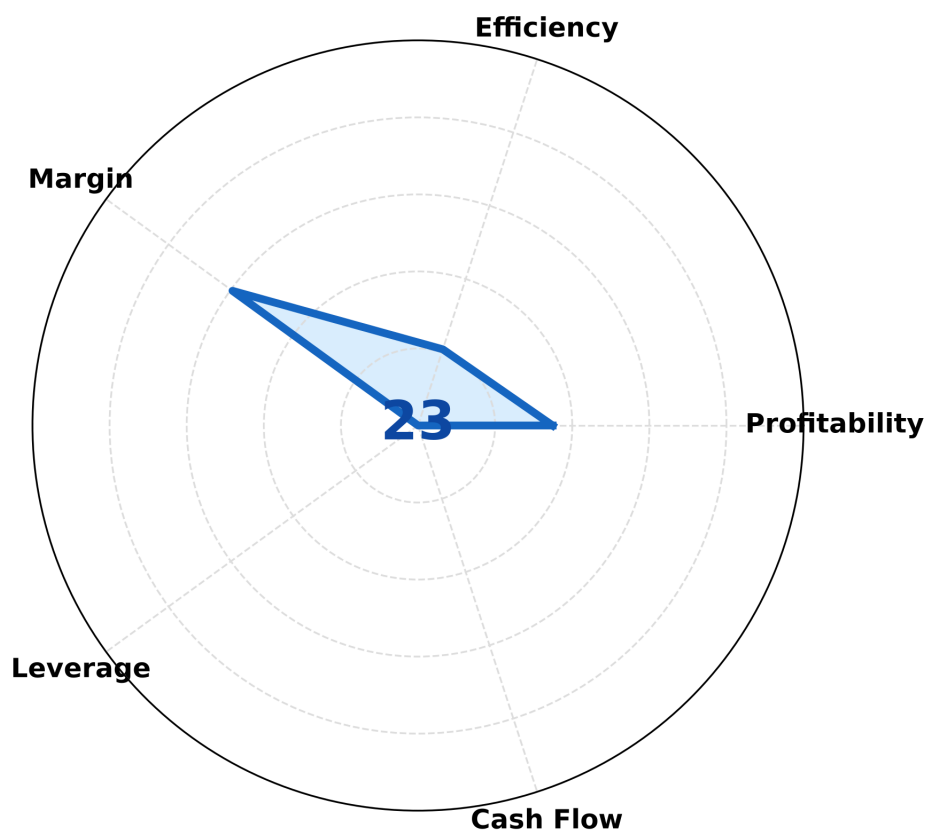
Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Net profit compounding at above 20% over 5 years creates significant shareholder value.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Cons

- Debt-to-equity ratio of 6.86 is elevated and warrants monitoring.
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality.
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
- Debt-to-equity ratio has increased for three consecutive years, indicating rising financial leverage.

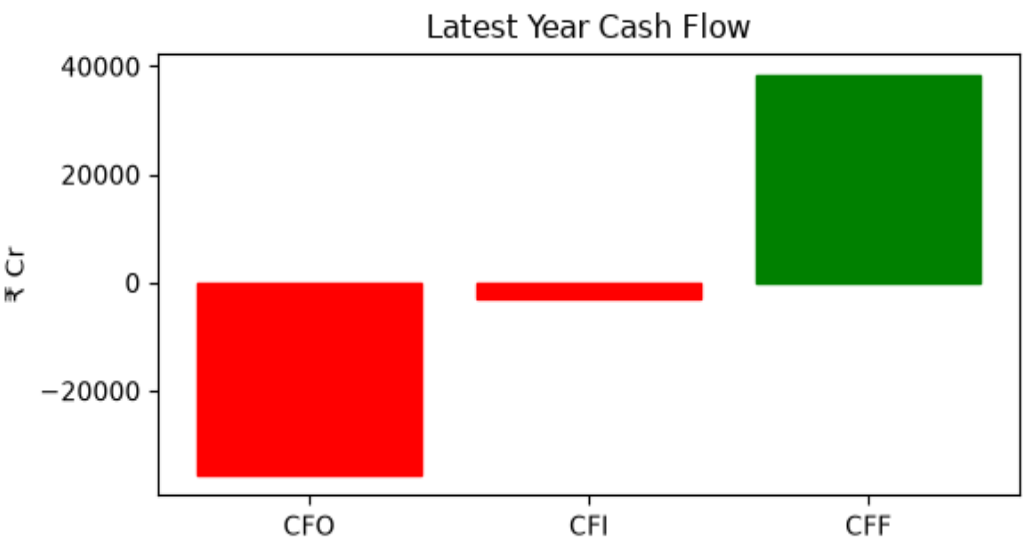
Financial Strength Radar



Peer Comparison

Rank	Company	ROCE	ROE	NPM	D/E
1	Bajaj Finance Ltd	11.90%	22.10%	26.29%	3.82
2	Shriram Finance Ltd	11.30%	15.90%	20.33%	3.99
3	Cholamandalam Investment & Finance Company Ltd	10.40%	20.20%	17.85%	6.86

Cash Flow Analysis



Stock Price Performance



Valuation Dashboard

Market Cap	■ 971,932 Cr
PE Ratio	16.79
PB Ratio	10.36
Dividend Yield	2.83%
Valuation	Undervalued